Examine contracts with promoters and vendors, Properly disclosed in balance sheet and comply with provisions of Companies Act.

- Auditor should verify Reserves and Surplus with reference to the following - Creation of reserve, Utilisation of reserve, Disclosure in balance sheet, Confirm the rate of premium, Examine prospectus, articles of association and minutes of directors and Transfer of premium to securities premium account.
- Verification of debentures: Borrowing powers of the company, Terms of issue, Examine the debentures trust deed, Verify articles with regard to redemption of debentures and Compare register of charges and register of Debenture holders.
- Verification of Creditors: Schedule of creditors Vouch entries and postings, Verify goods inward register, Verify discounts and Verify hire purchase agreement.
- Verification of outstanding expenses: Verify statement of outstanding expenses, Provision for expenses, Compare balance with last year and Subsequent payment of expenses.
- Verification of contingent liabilities: Contingent liabilities are a liability which may or may not arise in the future for payment. The auditor has to check that all the known and unknown liabilities are shown in the balance sheet.

KEY TERMS

- **Shares:** It is a part of the share capital.
- **Debentures:** It is a credit bond issued by a company.
- **Share Capital:** A capital raised by the company by issue of shares.
- **Bearer Debenture:** A bearer debenture is an unregistered unsecured bond and are not recorded in the company's debenture-holders register with full details of every debenture holder.
- **Secured Debenture (or) Mortgage Debenture:** The debenture secured by a charge on the fixed asset of the issued company.
- **Un-secured (or) Naked Debentures:** Debentures that are not supported by a collateral security.
- **Contingent Liability:** A liability which may or may not occur in the future.

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